

Business & economy **INFRASTRUCTURE**

not yet changed policies related to land acquisition. Surface Transport Minister Kamal Nath called that an impediment to road infrastructure at the recent CII summit on highways. Since a project can only start after 80 per cent of the land has been acquired, the agitations and court cases kicked off by the people displaced from the land lead to huge time and cost overruns. Not that private projects are luckier. For all their modern management methods, even an Arcelor Mittal cannot push ahead with its proposed steel plants in the face of local ire over land purchases.

Nath is not the only one complaining. The problem haunts power projects too, like the 60 MW Tuirial Hydro Electric Project held up by locals demanding higher compensation for their crop which is likely to be affected by the project. What makes matters

Has failed to crack down on red tape in clearances and push through capacity generation



SUSHIL KUMAR SHINDE, Power minister

worse is the absence of a system to fast-track litigation and dispose of such cases, says Atul Punj, chairman, Punj Lloyd Limited, a major infrastructure player. "Without a brisk dispute resolution mechanism, the Government can't get even 1 km of road laid, forget about the 20-km daily target as a road map towards developing 7,000 km of roads annually," says Ajit Gulabchand, chairman, Hindustan Construction Company Ltd.

Even with new policies and sys-

tems in place, there is no certainty whether a project will see the light of day, because of the long list of clearances that projects need before they can get off the ground. In India, even after more than 15 years of economic liberalisation, it still takes 170 clearances to set up a power project. The overall time to get all clearances could stretch from three to five years, of which a year or two alone would be needed for water and environment.

Minister of State for Power Bharatsinh Solanki says, "We have taken steps for timely completion of projects. A nodal officer in the Central Electricity Authority has been appointed for each project to keep track of the construction. A panel of independent consultants has been set up for field visits, review and reporting on the projects under implementation." But these measures are yet to prove their effectiveness on the ground.



ROADS

HAVERI-HARIHAR

Location: Karnataka

Date of approval: April 2000

Delay: 71 months

HARIHAR-CHITRADURGA

Location: Karnataka

Date of approval: April 2000

Delay: 70 months

GANJAM-ICHHAPURAM

Location: Orissa

Date of approval: April 2000

Delay: 64 months

BHUBANESHWAR-KHURDA

Location: Orissa

Date of approval: April 2000

Delay: 65 months

FATEHPUR-KHAGA

Location: Uttar Pradesh

Date of approval: April 2000

Delay: 59 months